

Points Transcript

Let's talk about points. You'll need to be familiar with these, but not those types of points. In real estate, a point is 1% of the loan amount.

To calculate the amount a buyer will pay in points, we multiply the loan amount by the points (or the percentage):

Loan amount × points = points amount

So, if a house sold for \$100,000, and the buyer was getting an 80/20 loan (which means financing 80% and putting down 20%), and the lender charged two points, these points would be against the \$80,000 loan. So take \$80,000 times .02 (which is your two points, or your 2%), and your buyers will pay \$1,600 in points at closing.

\$80,000 × .02 = \$1,600